

Salesforce Inc

2Q27 Preview: AI traction builds, organic growth remains key

Reiterate Rating: UNDERPERFORM | PO: 160.00 USD | Price: 206.09 USD

Organic growth and AI monetization remain in focus

Salesforce reports 2Q27 results on Wednesday, August 26th. We focus on three areas into the print: (1) the ability of the company to deliver the expected 2H growth acceleration, (2) cRPO and underlying bookings momentum, and (3) Agentforce adoption and monetization. We reiterate our Underperform rating and \$160 PO, as we continue to see risks around the ability of AI-driven growth to offset maturation across the core business.

Metrics to watch: organic revenue, cRPO and FY outlook

We model 2Q revenue of \$11.3bn, up 10.5% YoY, or 6.6% ex-Informatica, with cRPO growth of 14% YoY. Organic growth remains the key debate, with 2Q guidance implying ~6-6.5% cc growth, down from 7.1% cc in 1Q, despite strong growth across Agentforce and Data 360. We flag the subscription revenue outlook and believe investors will look for evidence that organic growth and cRPO can support management's expected 2H growth acceleration. For FY27, we model 11.1% revenue growth, including a ~3ppt contribution from Informatica, implying organic growth of about 8%.

Expanding AI portfolio and monetization strategy

Agentforce is gaining traction, with ARR reaching \$1.2bn in 1Q, up 205% YoY and 50% QoQ. While Agentforce's contribution is relatively small, the company expanded its AI offering and monetization strategy, recently announcing a \$3.6bn acquisition of Fin, an AI customer service agent that autonomously resolves customer inquiries, expanding Salesforce's packaged offerings for SMB and commercial customers. In addition, its acquisition of m3ter adds metering and billing capabilities to support consumption and outcome-based pricing. Near term, the core challenge remains the company's ability to fend off AI disruption and prove it could turn innovation and acquisitions into a growth tailwind.

Estimates (Jan) (US\$)	2025A	2026A	2027E	2028E	2029E
EPS	10.19	12.54	14.09	15.91	18.54
GAAP EPS	6.36	7.81	9.76	11.98	14.51
EPS Change (YoY)	24.0%	23.1%	12.4%	12.9%	16.5%
Consensus EPS (Bloomberg)			14.10	15.63	NA
Consensus EPS (Visible Alpha)			14.13	15.55	18.13
DPS	1.58	1.66	1.60	1.65	1.70
Valuation (Jan)					
P/E	20.2x	16.4x	14.6x	13.0x	11.1x
GAAP P/E	32.4x	26.4x	21.1x	17.2x	14.2x
Dividend Yield	0.8%	0.8%	0.8%	0.8%	0.8%
EV / EBITDA*	12.7x	11.4x	11.4x	10.5x	9.3x
Free Cash Flow Yield*	7.4%	8.5%	9.0%	10.0%	11.3%

* For full definitions of *IQmethod*SM measures, see page 5.

20 August 2026

Equity

Tal Liani

Research Analyst

BofAS

+1 646 855 5107

tal.liani@bofa.com

Kevin Niederpruem

Research Analyst

BofAS

+1 646 855-1540

kevin.niederpruem@bofa.com

Eden Vacnich

Research Analyst

BofAS

+1 646 855 1971

eden.vacnich@bofa.com

Stock Data

Price	206.09 USD
Price Objective	160.00 USD
Date Established	18-May-2026
Investment Opinion	B-3-7
52-Week Range	146.32 USD - 269.11 USD
Mkt Val (mn) / Shares Out (mn)	168,788 USD / 819.0
Free Float	96.7%
Average Daily Value (mn)	2570.63 USD
BofA Ticker / Exchange	CRM / NYS
Bloomberg / Reuters	CRM US / CRM.N
ROE (2027E)	27.2%
Net Dbt to Eqty (Jan-2026A)	15.7%

Glossary:

- AOV = annual order value
- nnAOV = net new annual order value
- RPO = remaining performance obligations
- cRPO = current remaining performance obligations
- ARR = annual recurring revenue
- SMB = small and medium-sized business

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iQprofileSM Salesforce Inc

iQmethodSM – Bus Performance*

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Return on Capital Employed	14.0%	15.4%	16.1%	17.6%	19.0%
Return on Equity	16.4%	19.9%	27.2%	38.2%	39.1%
Operating Margin	47.6%	46.6%	46.4%	45.7%	44.7%
Free Cash Flow	12,434	14,402	15,133	16,876	19,022

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Cash Realization Ratio	1.3x	1.3x	1.2x	1.3x	1.2x
Asset Replacement Ratio	0.2x	0.2x	0.3x	0.5x	0.5x
Tax Rate	16.7%	21.7%	20.4%	19.7%	19.8%
Net Debt-to-Equity Ratio	3.2%	15.7%	96.6%	80.9%	59.6%
Interest Cover	NM	NA	NM	NM	NM

Income Statement Data (Jan)

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Sales	37,895	41,525	46,133	50,561	55,752
% Change	8.7%	9.6%	11.1%	9.6%	10.3%
Gross Profit	30,520	33,500	37,221	40,927	45,080
% Change	10.1%	9.8%	11.1%	10.0%	10.1%
EBITDA	15,975	17,787	17,846	19,331	21,844
% Change	9.5%	11.3%	0.3%	8.3%	13.0%
Net Interest & Other Income	233	1,189	344	(105)	(115)
Net Income (Adjusted)	9,928	11,988	12,868	14,080	15,944
% Change	22.7%	20.8%	7.3%	9.4%	13.2%

Free Cash Flow Data (Jan)

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Net Income from Cont Operations (GAAP)	6,197	7,457	8,915	10,600	12,476
Depreciation & Amortization	3,477	3,631	2,035	1,517	1,673
Change in Working Capital	(1,981)	(781)	(387)	(288)	(91)
Deferred Taxation Charge	3,183	3,509	3,497	3,520	3,520
Other Adjustments, Net	2,216	1,180	1,778	2,336	2,336
Capital Expenditure	(658)	(594)	(705)	(809)	(892)
Free Cash Flow	12,434	14,402	15,133	16,876	19,022
% Change	30.9%	15.8%	5.1%	11.5%	12.7%
Share / Issue Repurchase	(7,829)	(12,596)	(36,248)	(12,000)	(12,000)
Cost of Dividends Paid	(1,537)	(1,587)	(1,460)	(1,460)	(1,460)
Change in Debt	(1,603)	5,416	24,712	0	0

Balance Sheet Data (Jan)

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Cash & Equivalents	8,848	7,327	7,192	10,308	15,570
Trade Receivables	11,945	14,339	13,147	14,709	16,313
Other Current Assets	8,934	6,556	7,505	8,808	9,005
Property, Plant & Equipment	3,236	3,120	2,885	2,477	1,997
Other Non-Current Assets	69,965	80,963	83,764	82,508	84,284
Total Assets	102,928	112,305	114,492	118,810	127,169
Short-Term Debt	0	4,000	0	0	0
Other Current Liabilities	27,980	33,118	34,030	35,792	38,913
Long-Term Debt	10,813	12,628	41,327	41,327	41,327
Other Non-Current Liabilities	2,962	3,417	3,795	3,356	3,721
Total Liabilities	41,755	53,163	79,152	80,475	83,961
Total Equity	61,173	59,142	35,340	38,336	43,208
Total Equity & Liabilities	102,928	112,305	114,492	118,810	127,169

* For full definitions of iQmethodSM measures, see page 5.

Company Sector

Software

Company Description

Salesforce is a cloud-based provider of customer relationship management software, offering tools that help organizations manage sales, marketing, customer service, and analytics. Its platform is widely used by enterprises to centralize customer data and automate go-to-market operations, with an expanding portfolio that includes data, integration, and AI capabilities.

Investment Rationale

Salesforce is confronting a structural growth challenge as agentic AI undermines the seat-based monetization model that has historically driven its expansion. AI-driven automation directly pressures net new seat growth, renewal uplift, and the economics of upsell. As a result, we rate Salesforce an Underperform as increasingly defended by entrenchment rather than propelled by growth, supporting a more mature valuation framework and limiting the potential for a sustained re-rating.

Stock Data

Average Daily Volume 12,473,323

Quarterly Earnings Estimates

	2026	2027
Q1	2.58A	3.88A
Q2	2.91A	3.26E
Q3	3.25A	3.36E
Q4	3.81A	3.59E



Exhibit 1: Our 2Q27 estimates are relatively in-line with Street expectations

BofA estimates vs Street estimates

\$mn, except EPS	2Q27			3Q27			FY27		
	BofA	Consensus	% Diff	BofA	Consensus	% Diff	BofA	Consensus	% Diff
Remaining Performance Obligations (RPO)	66,881.5	67,660.2	-1.2%	66,547.1	67,078.6	-0.8%	79,197.7	79,568.2	-0.5%
QoQ	-1.5%	-0.4%		-0.5%	-0.9%				
YoY	11.7%	13.0%		11.8%	12.7%		9.4%	9.9%	
Current Remaining Performance Obligations (cRPO)	33,507.6	33,382.3	0.4%	33,273.5	33,220.4	0.2%	38,886.1	38,989.2	-0.3%
QoQ	-0.3%	-0.6%		-0.7%	-0.5%				
YoY	14.0%	13.5%		13.2%	13.0%		10.8%	11.1%	
CC YoY	13.0%	12.3%		13.2%	12.0%			10.6%	
Subscription and Support Revenues	10,767.2	10,777.7	-0.1%	10,927.7	10,896.7	0.3%	44,021.1	43,991.8	0.1%
QoQ	1.6%	1.7%		1.5%	1.1%				
YoY	11.1%	11.2%		12.4%	12.0%		11.8%	11.7%	
CC YoY	10.5%	10.9%		12.4%	11.7%			11.3%	
Professional Services and Other Revenues	542.7	533.3	1.8%	521.0	520.4	0.1%	2,111.7	2,106.2	0.3%
QoQ	0.5%	-1.2%		-4.0%	-2.4%		-1.2%	-1.4%	
YoY	-0.6%	-2.3%		-2.3%	-2.4%				
Total Revenue	11,309.9	11,317.6	-0.1%	11,448.7	11,413.3	0.3%	46,132.8	46,109.5	0.1%
QoQ	1.6%	1.7%		1.2%	0.8%				
YoY	10.5%	10.6%		11.6%	11.3%		11.1%	11.0%	
CC YoY	10.0%	10.6%		11.6%	11.3%			11.0%	
Gross Profit	9,119.3	9,126.0	-0.1%	9,236.5	9,237.8	0.0%	37,221.3	37,244.8	-0.1%
Gross Margin	80.6%	80.4%		80.7%	80.7%		80.7%	80.6%	
Operating Income	3,869.7	3,805.6	1.7%	3,895.2	3,933.4	-1.0%	15,810.8	15,843.0	-0.2%
Operating Margin	34.2%	33.6%		34.0%	34.5%		34.3%	34.3%	
Non-GAAP EPS	\$3.26	\$3.28		\$3.36	\$3.39		\$14.09	\$14.10	
YoY	12.4%	12.6%		3.4%	4.2%		12.3%	12.6%	

Source: BofA Global Research estimates, Bloomberg, company report

BofA GLOBAL RESEARCH



Price objective basis & risk

Salesforce Inc (CRM)

Our \$160 PO is based on 9x our CY27E EV/FCF, at the lower end of the software peer average at 8-14x, attributed to the company's relatively weaker growth profile.

Downside risks to our price objective are slower AI monetization transition, slower than expected growth attributed to competition, upsell and pricing pressure intensifies, and lack of organic growth.

Upside risks to our price objective are sooner than expected organic growth reacceleration, faster Agentforce scaling and improved upsell efficiencies.

Analyst Certification

I, Tal Liani, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Akamai	AKAM	AKAM US	Tal Liani
	Amdocs	DOX	DOX US	Tal Liani
	Arista Networks	ANET	ANET US	Tal Liani
	Asana	ASAN	ASAN US	Matt Bullock
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Autodesk	ADSK	ADSK US	Tomer Zilberman
	Bentley Systems	BSY	BSY US	Tomer Zilberman
	Box Inc	BOX	BOX US	Matt Bullock
	Ciena	CIEN	CIEN US	Tal Liani
	Cisco Systems	CSCO	CSCO US	Tal Liani
	Cloudflare	NET	NET US	Tal Liani
	Coreweave	CRWV	CRWV US	Tal Liani
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	Extreme Networks, Inc.	EXTR	EXTR US	Tomer Zilberman
	Figma	FIG	FIG US	Tal Liani
	Fortinet	FTNT	FTNT US	Tal Liani
	Global-e Online Ltd.	GLBE	GLBE US	Matt Bullock
	Intuit	INTU	INTU US	Tal Liani
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Tal Liani
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Motorola Solutions	MSI	MSI US	Tomer Zilberman
	Oracle Corporation	ORCL	ORCL US	Tal Liani
	Palo Alto Networks	PANW	PANW US	Tal Liani
	Samsara	IOT	IOT US	Matt Bullock
	SentinelOne, Inc.	S	S US	Tal Liani
	ServiceNow	NOW	NOW US	Tal Liani
	Shopify, Inc.	SHOP	SHOP US	Tal Liani
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	Zeta Global	ZETA	ZETA US	Matt Bullock
	Zscaler	ZS	ZS US	Tal Liani
NEUTRAL				
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Check Point Software Technologies	CHKP	CHKP US	Tal Liani
	CrowdStrike Holdings Inc.	CRWD	CRWD US	Tal Liani
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Monday.com	MNDY	MNDY US	Matt Bullock
	SailPoint	SAIL	SAIL US	Tal Liani
	Workday Inc.	WDAY	WDAY US	Tal Liani
UNDERPERFORM				
	Adobe	ADBE	ADBE US	Tal Liani
	BlackLine, Inc.	BL	BL US	Tomer Zilberman
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Docusign Inc	DOCU	DOCU US	Matt Bullock
	Dropbox	DBX	DBX US	Matt Bullock
	F5 Inc	FFIV	FFIV US	Tal Liani
	Fastly	FSLY	FSLY US	Tal Liani
	HubSpot, Inc.	HUBS	HUBS US	Matt Bullock
	Lightspeed Commerce Inc.	LSPD	LSPD US	Matt Bullock
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Matt Bullock
	Okta Inc	OKTA	OKTA US	Tal Liani
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Salesforce Inc	CRM	CRM US	Tal Liani
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Matt Bullock
RSTR				
	Nebius Group N.V.	NBIS	NBIS US	Tal Liani

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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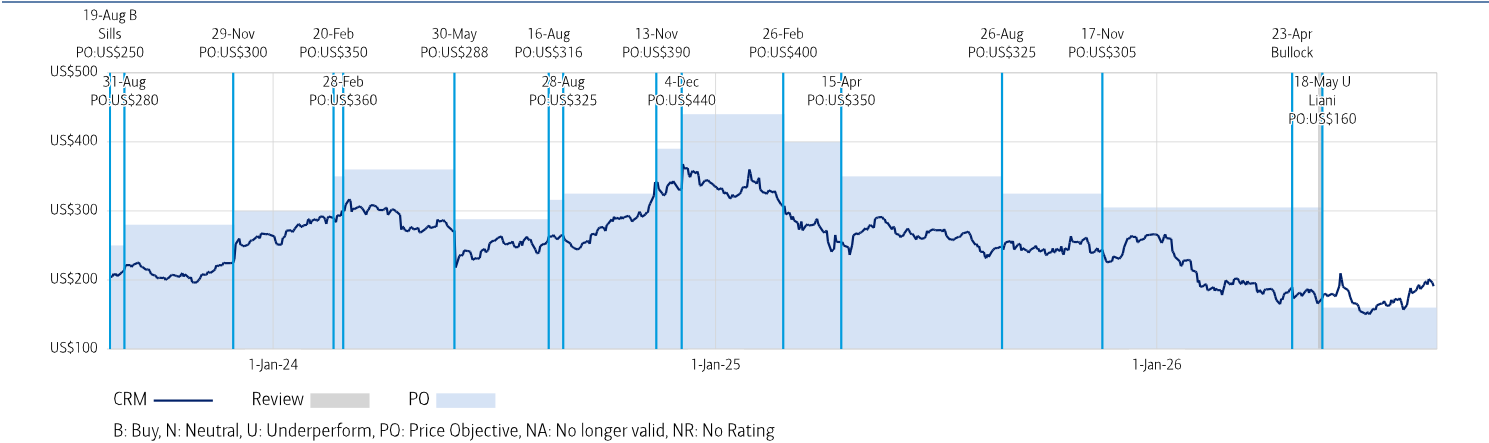
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Important Disclosures

Salesforce (CRM) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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